

CANDIDATE'S NAME.....

SIGNATURE.....

Personal number

P220/1

ECONOMICS

Paper 1

3 Hours



Apex Examination Council

PRE-MOCK EXAMINATIONS SET ONE 2026

Uganda Advanced Certificate of Education

ECONOMICS

Paper 1

3 Hours

INSTRUCTIONS TO CANDIDATES

This paper consists of two sections A and B

- Answer ALL items in Section A and ONLY TWO items from Section B.
- Read each scenario carefully before answering.
- All responses should be presented in clear, well-structured economic essays.
- Credit will be awarded for logical analysis, application of economic principles, and relevant illustrations from Uganda and elsewhere.
- Any assumptions made should be clearly stated.

SECTION A

(Compulsory)

ITEM 1

The rapid growth of hotels, schools, hospitals and restaurants in major urban centres such as Kampala, Mbarara and Jinja has greatly increased the demand for poultry products, particularly eggs. During the past year, the price of a tray of eggs increased from UGX 10,000 to UGX 18,000. Despite the rise in price, consumers continued purchasing large quantities because eggs are considered an important and affordable source of protein by many households.

As returns from poultry farming increased, many farmers transferred land, labour, capital and managerial resources from enterprises such as maize growing, piggery and fish farming into commercial poultry production. Consequently, output of alternative agricultural products declined, leading to shortages and rising prices in some markets. Consumer groups have expressed concern about increasing food prices, reduced variety in agricultural production and the welfare of low-income households.

Government is considering whether intervention is necessary to protect consumers and ensure efficient allocation of productive resources in the economy.

Task

Prepare an essay analysing the factors that influence consumers' responsiveness to changes in the price of eggs, and examine the justification for government intervention in promoting efficient resource allocation and consumer welfare.

ITEM 2

In an effort to stimulate industrial production, reduce production costs and promote economic growth, the Government of Uganda introduced a subsidy on electricity consumed by manufacturing firms. Following the policy, electricity tariffs paid by industries reduced significantly, encouraging firms to expand production, invest in additional machinery and increase their demand for labour.

Although industrial output increased, several unintended effects emerged. Government expenditure on subsidies rose substantially, creating pressure on public finances. Some firms became heavily dependent on subsidised electricity and reduced efforts to improve efficiency. Increased industrial activity also contributed to environmental pollution and higher demand for imported capital equipment and raw materials.

Economic analysts have raised concerns regarding the effectiveness of the subsidy policy and its implications for resource allocation, economic welfare and long-term development.

Task

Prepare an essay analysing the effects of the electricity subsidy on resource allocation in the economy, and evaluate the extent to which the policy has improved or distorted market outcomes.

SECTION B

(Answer Any Two Items)

ITEM 3

Uganda has experienced rapid population growth over the past two decades. A large proportion of the population consists of young people who enter the labour market every year. However, many graduates and school leavers lack the practical, technical and entrepreneurial skills required in modern production activities.

Consequently, unemployment, underemployment and disguised unemployment remain widespread. Many firms experience shortages of highly skilled labour, while labour productivity remains low in several sectors of the economy. Government expenditure on education, healthcare, housing and other social services continues to increase as the population expands.

Policy makers are concerned about the implications of the country's population structure for production, employment, income levels and economic development.

Task

Using information from the scenario, prepare an essay analysing the implications of Uganda's population structure on production and economic development, and propose measures that can be adopted to improve labour productivity and employment opportunities.

ITEM 4

The search for better employment opportunities, higher incomes, improved infrastructure and access to social services has accelerated migration from rural areas to urban centres such as Kampala, Wakiso, Mukono, Mbarara and Gulu.

As a result, urban areas are experiencing rapid population growth, increased unemployment, pressure on housing, traffic congestion, expansion of informal settlements and strain on social services. At the same time, many rural areas are facing shortages of productive labour, declining agricultural output, underutilisation of land resources and slower rural development.

Government is increasingly concerned about the uneven distribution of labour resources and the resulting effects on production, resource utilisation and balanced economic growth.

Task

Using information from the scenario, prepare an essay analysing the effects of rural–urban migration on resource utilisation, productivity and economic development, and evaluate the measures that can be adopted to achieve a more balanced distribution of labour resources.

ITEM 5

Employees in Uganda's banking, telecommunications, manufacturing and transport sectors have increasingly joined trade unions to negotiate for higher wages, improved fringe benefits, safer working conditions, better job security and increased worker participation in decision-making.

In response, some employers have adopted labour-saving technologies, automated production processes, reduced recruitment and increased investment in capital-intensive methods of production in order to minimise labour costs. While workers argue that stronger trade unions improve their welfare, motivation and productivity, employers maintain that rising labour costs reduce profitability, competitiveness and investment.

Government is attempting to balance the interests of workers and employers while maintaining sustainable economic growth and employment creation.

Task

Prepare an essay analysing the role of trade unions in influencing labour market outcomes, and evaluate their impact on production, employment, productivity and economic efficiency.

END